

Withdrawal Rate and Asset Allocation Guidelines for Retirees

Inflation-Adjusted Withdrawals For Various Withdrawal Rates, Asset Allocations, and Retirement Durations

Monte Carlo Simulations Based on SBBi Data, 1926–2016, S&P 500 and Intermediate-Term Government Bonds

Retirement Duration (Years)	Failure Rate (%)	Withdrawal Rate (%)	Optimal Asset Allocation (%)		For Withdrawal Rates within 0.1% of Maximum			
					Range Stocks		Range Bonds	
			Stocks	Bonds	Min	Max	Min	Max
10	1	8.9	21	79	11	31	69	89
10	5	9.7	26	74	15	36	64	85
10	10	10.2	29	71	19	45	55	81
10	20	10.8	44	56	27	72	28	73
15	1	6.1	21	79	12	32	68	88
15	5	6.8	29	71	19	45	55	81
15	10	7.2	44	56	21	52	48	79
15	20	7.8	56	44	43	80	20	57
20	1	4.7	21	79	13	36	64	87
20	5	5.3	30	70	19	48	52	81
20	10	5.7	45	55	27	57	43	73
20	20	6.4	71	29	44	92	8	56
25	1	3.9	25	75	17	38	62	83
25	5	4.5	36	64	21	53	47	79
25	10	4.9	45	55	29	68	32	71
25	20	5.6	86	14	53	93	7	47
30	1	3.4	26	74	19	44	56	81
30	5	4.0	44	56	24	57	43	76
30	10	4.4	45	55	34	71	29	66
30	20	5.1	86	14	56	96	4	44
35	1	3.1	30	70	19	44	56	81
35	5	3.6	44	56	26	61	39	74
35	10	4.1	56	44	36	80	20	64
35	20	4.8	86	14	60	100	0	40
40	1	2.8	31	69	20	44	56	80
40	5	3.4	48	52	29	62	38	71
40	10	3.8	56	44	42	80	20	58
40	20	4.6	87	13	61	100	0	39

A wide range of asset allocations often support withdrawal rates that are nearly as high as the optimal allocation. This exhibit provides clear evidence that lower stock allocations can compete with higher stock allocations in